DC AIRBNB HOMEOWNER DECISION REPORT

DC Short-Term Rental Regulation Act Assessment · DC Official Code § 30-201

Report Date: Nov 10, 2026

Tax Mode: Pre-Tax Standard

EVALUATED PROPERTY CONTEXT:

DC Neighborhood Cluster: Capitol Hill

ADR: $176 · Market Rent: $2650/mo

& HOMEOWNER SELECTED STRATEGY EVALUATION

Hosted Private Room (180 Nights)

$16,616 / yr

Selected by homeowner ($1,385/mo net). Top financial yield is Long-Term Lease (365 Nights) ($28,620/yr, +$12,004 delta).

1. D.C. SHORT-TERM RENTAL COMPLIANCE & ELIGIBILITY VERDICT

' FULLY ELIGIBLE FOR D.C. SHORT-TERM RENTAL LICENSE (DLCP ACT 22-540)

Primary Residence: YES · Property Owner (Not Tenant): YES · HOA / Lease Prohibitions: NO (Clear)

2. THREE-WAY OCCUPANCY SCENARIO COMPARISON (SIDE-BY-SIDE)

FINANCIAL METRIC	SCENARIO 1: LONG-TERM	SCENARIO 2: HOSTED ROOM	SCENARIO 3: WHOLE HOME
Occupancy / Night Cap	365 Nights (12 Mo)	180 Nights (Uncapped)	90 Nights (DC Cap)
Base Rate Assumption	$2,650 / mo (Med: $2650)	$109 / night (60%)	$181 / night (ADR)
Gross Annual Revenue	$31,800	$19,548	$16,290
Operating Expenses Rate	10% of gross	15% of gross	15% of gross
Operating Expenses ($)	- $3,180	- $2,932	- $2,444
D.C. Transient Tax (14.95%)	$0 (100% Tax-Exempt)	Excl. ($2,922 est)	Excl. ($2,435 est)
Projected Annual Net Income	**$28,620**	**$16,616**	**$13,847**
Effective Monthly Net	$2,385 / mo	$1,385 / mo	$1,154 / mo
Homeowner Strategy Status	**Top Net Yield**	**' SELECTED STRATEGY**	**Alternative Model**
Host Operational Burden	Passive (Tenant)	High Active (Host Present)	Moderate (Turnovers)

3. KEY BREAK-EVEN DECISION THRESHOLDS

- Whole-Home ADR Parity: Average Daily Rate must reach $374/night over 90 days to equal traditional lease net ($28,620).
- Hosted Room Occupancy Parity: Must host approximately 310 nights/yr at $109/night to match traditional lease net.
- 90-Night Whole-Home Equivalent: 90 capped nights ($13,847 net) equals renting to a traditional tenant at $1,282/month.

4. ITEMIZED OPERATING EXPENSES BREAKDOWN BY SCENARIO

Long-Term Lease (10%)

- Repairs & HVAC Reserve: 40% ($1,272)
- Vacancy & Turnover: 30% ($954)
- Landlord Insurance: 20% ($636)
- DC BBL & RAD Filing: 10% ($318)

Total: - $3,180 / yr

Hosted Room (15%) &

- Guest Supplies / Linen: 30% ($880)
- Utilities & WiFi Surcharge: 25% ($733)
- Airbnb Host Fee (3%): 20% ($586)
- Laundry & Sanitization: 15% ($440)
- DLCP STR License Fee: 10% ($293)

Total: - $2,932 / yr

Whole-Home STR (15%)

- Professional Turnover Clean: 40% ($977)
- Airbnb Host Fee (3%): 20% ($489)
- Consumables & Restock: 15% ($367)
- Smart Lock & Decibel Tech: 15% ($367)
- DLCP License / FR-500: 10% ($244)

Total: - $2,444 / yr

5. D.C. SHORT-TERM RENTAL TAX & LICENSING ROADMAP

D.C. Sales & Transient Occupancy Tax (14.95% Total)

- Composition: 10.05% D.C. Sales Tax on Transient Accommodations + 4.90% Washington Convention Hotel Surcharge.
- Exemption Rule: Stays <90 days are subject to 14.95%. Residential leases "e90 days (12 mo leas
- Collection: Airbnb & VRBO collect and remit the 14.95% tax automatically on marketplace bookings.

Mandatory 5-Step DLCP Licensing Checklist (Before Listing on Airbnb)

Step 1 · Homestead Check: Confirm property receives DC Homestead Property Tax Deduction (verifies primary residency).

Step 2 · Clean Hands Certificate: Obtain from DC Office of Tax & Revenue (verifies <$100 outstanding debt to DC).

Step 3 · Life Safety Equipment: Install functioning smoke/CO alarms, 2A:10B:C fire extinguisher, and emergency egress diagram.

Step 4 · DLCP Application & Fee: Submit online application at dlcp.dc.gov ($104.50 fee; valid for 2 full years).

Step 5 · Form FR-500 Registration: Register business with DC OTR via MyTax.DC.gov and input license # on Airbnb/VRBO.

Disclaimer: This report is generated by the DC Airbnb Homeowner Decision Tool for financial modeling and educational purposes based on District of Columbia Act 22-540 and DLCP guidelines. It does not constitute certified legal, tax, or investment advice. Homeowners should consult licensed DC real estate attorneys and CPA advisors prior to executing rental agreements.